

Marvell Technology, Inc.

MRVL NASDAQ

Hold	\$228.12 ▼ 2.93%	12M Price Target \$260.00	52-Week Range \$66.14 – \$329.88	Market Cap \$205.01B
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MRVL: AI Optics Story Intact But Broadcom Steals Spotlight

WHAT HAPPENED

- MRVL gave back ~3% today after a big run — stock ripped from \$208 to \$235 in a week (up 12%), so today looks like normal profit-taking, especially on light volume (7.6M vs the usual 20M+). Low volume selling = weak hands taking chips off, not institutions dumping.
- The narrative shift matters: two articles today (24/7 Wall St and Trefis) are basically saying "Broadcom is THE AI networking king, and Marvell is the smaller sibling." When the market decides there's a clear #1, the #2 gets a lower multiple — that's what's pressuring the stock.

WHY IT MATTERS

Here's what I think is really going on: MRVL just had a great Q2 (stock up 8.6% since earnings per Zacks), and management is guiding to an \$18B revenue target driven by AI networking and custom silicon (ASICs — chips designed specifically for one customer like Amazon or Microsoft). But investors are starting to ask "why own MRVL when Broadcom is bigger, more profitable, and has Google's TPU business?" That comparison is the ceiling on the multiple right now. The bullish read: if MRVL lands a second big hyperscaler custom-chip win (rumors keep swirling around Microsoft), the "Broadcom Jr." discount collapses and this thing re-rates to \$280+. Watch for any hint of new ASIC design wins on the next few conference calls — that's the single biggest catalyst.

POLICY & POLITICAL WATCH

The big policy overhang is US-China chip export controls — the Commerce Department is still tightening rules on advanced chips going to China, and MRVL historically got ~40% of revenue from China (though a lot of that is now non-AI legacy stuff). The CHIPS Act money is still flowing to domestic chip manufacturing, which indirectly helps MRVL because their TSMC-fabbed chips increasingly get made at TSMC's new Arizona fab — a political win they can point to. Also watch: any Trump administration executive order on "AI sovereignty" or federal AI procurement could favor US-designed custom silicon, and MRVL is squarely in that lane alongside Broadcom and Nvidia.

IS IT EXPENSIVE?

At \$228 with a \$205B market cap on ~\$8.3B of forward revenue, you're paying about \$25 for every \$1 of revenue — that's premium territory, roughly in line with Broadcom but way above old-school chip names like AMD (\$12) or Intel (\$2). On forward earnings, it's trading around 80x — meaning investors are paying \$80 today for every \$1 of profit expected next year. That's only justified if AI revenue keeps compounding 40%+ annually; any hint of a slowdown and this multiple compresses fast.

Key Data

Price (USD)	\$228.12
12M Price Target	\$260.00
Upside / (Downside)	+14.0%
Market Cap	\$205.01B
FY2026E Revenue	\$8,250M
FY2027E Revenue	\$10,400M
FY2026E EPS	\$2.85
FY2027E EPS	\$3.90
Fwd P/E	80.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$250.00	\$232.00	\$205.00
6 Months	\$290.00	\$250.00	\$190.00
1 Year	\$330.00	\$260.00	\$170.00
2 Years	\$420.00	\$310.00	\$150.00
5 Years	\$600.00	\$400.00	\$120.00
10 Years	\$900.00	\$550.00	\$100.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors broadly, especially AI-adjacent names — Piper Sandler just put out a "5 chip stocks to buy" list today, which is analyst-speak for "we think this rally has legs." Communications Services also holding up (+0.55%) because it houses the hyperscalers doing all the buying.

COOLING OFF: Defensive sectors (Staples -2.5% over 5 days, Real Estate -1.3%) — money is leaving safety and chasing growth, which is a risk-on tell that benefits MRVL.

ROTATION WATCH: Cash is flowing from defensives into semis and AI infrastructure — as long as that continues, MRVL has a bid underneath it even on down days.

RELATED PLAY: If you like the AI networking thesis but want less single-name risk, Astera Labs (ALAB) and Credo Technology (CRDO) are smaller, more explosive plays on the same optical/connectivity trend. Or go straight to the source with Broadcom (AVGO) if you want the market leader.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning the AI networking narrative war — Google TPU business + VMware synergy story has investors treating it as the "must own" AI infrastructure name.
- NVDA (Nvidia): Still the king — every AI capex dollar starts with a Nvidia GPU purchase, and analyst upgrades keep coming (see today's Fly note).

MRVL CONTEXT: MRVL is lagging AVGO on narrative but keeping pace on fundamentals. It's the "value" AI infrastructure play right now — cheaper than Broadcom, more concentrated in AI than Intel or AMD. That relative positioning matters: if AVGO gets too expensive, money rotates down to MRVL as the next-best option.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$205-215 on pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: Loss of Amazon Trainium custom silicon contract or hyperscaler capex cuts >15%

Hedging: Pair with a small SMH (chip ETF) short or buy protective puts